

XAUUSD Daily Report — Fri 31 Jul 2026

Geopolitics × Bond Market · regime-calibrated · companion to shafx-ix.github.io/xauusd-live · educational analysis, not financial advice

The day in one paragraph

Thursday's data was a stagflation split: Q2 GDP missed at 1.5% (exp ~1.6–2.1%) while the GDP price index shocked at 6.3% vs 3.6% expected; June core PCE printed 3.3% y/y in line and claims stayed tight at 197K. The 10Y jumped ~10bp to ~4.68% — and gold rose anyway, a third consecutive session of dip-bid absorption, reaching ~\$4,100–4,110. A metal rallying into rising yields is the divergence the regime monitor tracks: logged as re-flip evidence leg two, though the RATES regime call stands until an escalation session is outright bought.

Regime state: RATES (re-flipped 23 Jul) — holding, under close watch

Transmission: escalation → oil ↑ → inflation & hike odds ↑ → yields ↑ → gold ↓. Confirmed both directions (27 Jul truce pause: oil –5%, gold +1.3%). Counter-evidence now two legs deep: the hawkish 9–3 hold (Jul 29) and the stagflationary print (Jul 30) were both absorbed at the \$4,000 handle. Measured scoreboard 6/13 hits.

Bond market & Fed (as of Thu 30 Jul)

Fed funds target	3.50–3.75% — held Jul 29, vote 9–3 (Hammack, Kashkari, Logan dissented for a hike)
Sept hike odds	~80% priced by September post-data; some desks (StoneX) argue overstated
Q2 GDP / price index	1.5% miss / 6.3% shock — the stagflation split
10Y / 2Y / 30Y	~4.68% (+10bp) / ~4.26% (Wed) / >5.00%
10Y TIPS real yield	~2.3% — primary gold headwind
DX	~100.5–101.2 band, firm post-FOMC
Jobless claims (Jul 30)	197K vs ~200K exp — labor still tight

Geopolitics — 2026 Iran war / Hormuz crisis

Jul 30–31	Iran fires missile salvo at US assets in Jordan; US answers with a "heavy wave" of strikes incl. Qeshm Island; Egypt confirms drone strike
Jul 30	Saudi Arabia: 14 countries back a maritime alliance to protect shipping; Hormuz transits ~15/day vs ~120 pre-war.
Jul 31	Pakistan: US–Iran negotiations "ongoing" on Hormuz and de-escalation — the regime's bullish tail if a venue/date lands.
Jul 29	Iran rejected Oman's joint strait-oversight plan, tabled its own — drafts still being traded.

Key levels & playbook (15-min structure)

R2 / R1	4,180–4,200 / 4,160–4,171 (MA200 4,171)
Pivot	4,135–4,145 — trendline + EMA confluence, MA50 4,132.6
S1 / S2 / S3	4,100–4,105 shelf / 4,075–4,080 / 4,030 & 3,959

Base case (rates regime): fade escalation-driven pops into 4,135–4,145 while the 10Y holds ~4.68%; bullish branch is a dated talks venue or yields rolling over — hold 4,100–4,105 → 4,135–4,145 → 4,160. Month-end Friday, light calendar (Chicago PMI): trade the extremes, not the middle.

Sentiment snapshot (Fri 31 Jul, post-data)

Street question: which side of the stagflation print does the Fed act on? Rate futures kept ~80% priced for a hike by September — the deflator outweighed the growth miss. Bears (OCBC; WGC watch zone under \$4,000) vs bulls (OMFIF: net 30% of official institutions plan to add gold within two years; WGC \$4,500+ if ETF flows turn). Kitco panel: the hawkish hold "stabilizes gold and silver but likely leaves markets in limbo until September." Tape verdict: absorption, day 3.

Snapshot compiled Fri 31 Jul 2026 from cited public sources (CNN, CBS, Investing.com, Kitco, TradingEconomics, FXPremiere, WGC, LiteFinance). Data vintages as labeled; verify before trading. CFDs and leveraged products carry a high risk of loss. Not financial advice.